

Particular	A	B
1. Investment Cost	300000/-	400000
2. Cash inflow		
1st	120000	150000
2nd	120000	150000
Third	100000	220000

→ Suggest the most attractive proposal on the basis of Net Present value method considering that future incomes are discounted at 12%.

→ Computation of P.V. Factor.

$$\text{Discount Factor} = \frac{1}{(1+r)^n}$$

where, r = Discount rate. = $\frac{12}{100} = 0.12$

n = No. of years = 3

$$1 = \frac{1}{(1+0.12)^1} = \frac{1}{(1.12)^1} = 0.893$$

$$2 = \frac{1}{(1+0.12)^2} = \frac{1}{(1.12)^2} = 0.797$$

$$3 = \frac{1}{(1+0.12)^3} = \frac{1}{(1.12)^3} = 0.72$$

Statement

Cash flow		Pi factor at 12 %	Present Value		
Year	A B		A	B	
	120000	150000	0.89	1,07,160	133950
	120000	150000	0.79	95640	119550
	100000	200000	0.712	71,200	156640
- Total Present of inflow			274000	410140	
Less	- Present Value of outflow		300000	400000	
NPV			1 - 26000	10140	